

STATE OF NEW YORK

7650--A

2025-2026 Regular Sessions

IN SENATE

April 25, 2025

Introduced by Sen. SKOUFIS -- read twice and ordered printed, and when printed to be committed to the Committee on Investigations and Government Operations -- committee discharged, bill amended, ordered reprinted as amended and recommitted to said committee

AN ACT to amend the tax law, in relation to authorizing the village of Chester to impose a hotel and motel tax; and providing for the repeal of such provisions upon expiration thereof

The People of the State of New York, represented in Senate and Assembly, do enact as follows:

1 Section 1. The tax law is amended by adding a new section 1202-kk to
2 read as follows:

3 § 1202-kk. Hotel or motel taxes in the village of Chester. (1)
4 Notwithstanding any other provisions of law to the contrary, the village
5 of Chester, in the county of Orange, is hereby authorized and empowered
6 to adopt and amend local laws imposing in such village a tax, in addi-
7 tion to any other tax authorized and imposed pursuant to this article
8 such as the legislature has or would have the power and authority to
9 impose upon persons occupying hotel or motel rooms in such village. For
10 the purposes of this section, the term "hotel" or "motel" shall mean and
11 include any facility consisting of rentable units and providing lodging
12 on an overnight basis and shall include those facilities designated and
13 commonly known as "bed and breakfast" and "tourist" facilities. The
14 rates of such tax shall not exceed five percent of the per diem rental
15 rate for each room, provided however, that such tax shall not be appli-
16 cable to a permanent resident of a hotel or motel. For the purposes of
17 this section the term "permanent resident" shall mean a person occupying
18 any room or rooms in a hotel or motel for at least ninety consecutive
19 days.

20 (2) Such tax may be collected and administered by the chief fiscal
21 officer of the village of Chester by such means and in such manner as

EXPLANATION--Matter in italics (underscored) is new; matter in brackets
[-] is old law to be omitted.

LBD11804-02-5

1 other taxes which are now collected and administered by such officer or
2 as otherwise may be provided by such local law.

3 (3) Such local laws may provide that any tax imposed shall be paid by
4 the person liable therefor to the owner of the hotel or motel room occu-
5 pied or to the person entitled to be paid the rent or charge for the
6 hotel or motel room occupied for and on account of the village of Ches-
7 ter imposing the tax and that such owner or person entitled to be paid
8 the rent or charge shall be liable for the collection and payment of the
9 tax; and that such owner or person entitled to be paid the rent or
10 charge shall have the same right in respect to collecting the tax from
11 the person occupying the hotel or motel room, or in respect to nonpay-
12 ment of the tax by the person occupying the hotel or motel room, as if
13 the tax were a part of the rent or charge and payable at the same time
14 as the rent or charge; provided, however, that the chief fiscal officer
15 of the village, specified in such local law, shall be joined as a party
16 in any action or proceeding brought to collect the tax by the owner or
17 by the person entitled to be paid the rent or charge.

18 (4) Such local laws may provide for the filing of returns and the
19 payment of the tax on a monthly basis or on the basis of any longer or
20 shorter period of time.

21 (5) This section shall not authorize the imposition of such tax upon
22 any transaction, by or with any of the following in accordance with
23 section twelve hundred thirty of this article:

24 a. The state of New York, or any public corporation (including a
25 public corporation created pursuant to agreement or compact with another
26 state or the Dominion of Canada), improvement district or other poli-
27 tical subdivision of the state;

28 b. The United States of America, insofar as it is immune from taxa-
29 tion; or

30 c. Any corporation or association, or trust, or community chest, fund
31 or foundation organized and operated exclusively for religious, charita-
32 ble or educational purposes, or for the prevention of cruelty to chil-
33 dren or animals, and no part of the net earnings of which inures to the
34 benefit of any private shareholder or individual and no substantial part
35 of the activities of which is carrying on propaganda, or otherwise
36 attempting to influence legislation; provided, however, that nothing in
37 this paragraph shall include an organization operated for the primary
38 purpose of carrying on a trade or business for profit, whether or not
39 all of its profits are payable to one or more organizations described in
40 this paragraph.

41 (6) Any final determination of the amount of any tax payable hereunder
42 shall be reviewable for error, illegality or unconstitutionality or any
43 other reason whatsoever by a proceeding under article seventy-eight of
44 the civil practice law and rules if application therefor is made to the
45 supreme court within thirty days after the giving of the notice of such
46 final determination, provided, however, that any such proceeding under
47 article seventy-eight of the civil practice law and rules shall not be
48 instituted unless:

49 a. The amount of any tax sought to be reviewed, with such interest and
50 penalties thereon as may be provided for by local law shall be first
51 deposited and there is filed an undertaking, issued by a surety company
52 authorized to transact business in this state and approved by the super-
53 intendent of financial services of this state as to solvency and respon-
54 sibility, in such amount as a justice of the supreme court shall approve
55 to the effect that if such proceeding be dismissed or the tax confirmed

1 the petitioner will pay all costs and charges which may accrue in the
2 prosecution of such proceeding; or

3 b. At the option of the petitioner such undertaking may be in a sum
4 sufficient to cover the taxes, interests and penalties stated in such
5 determination plus the costs and charges which may accrue against it in
6 the prosecution of the proceeding, in which event the petitioner shall
7 not be required to pay such taxes, interest or penalties as a condition
8 precedent to the application.

9 (7) Where any tax imposed hereunder shall have been erroneously, ille-
10 gally or unconstitutionally collected and application for the refund
11 thereof duly made to the proper fiscal officer or officers, and such
12 officer or officers shall have made a determination denying such refund,
13 such determination shall be reviewable by a proceeding under article
14 seventy-eight of the civil practice law and rules, provided, however,
15 that such proceeding is instituted within thirty days after the giving
16 of the notice of such denial, that a final determination of tax due was
17 not previously made, and that an undertaking is filed with the proper
18 fiscal officer or officers in such amount and with such sureties as a
19 justice of the supreme court shall approve to the effect that if such
20 proceeding be dismissed or the tax confirmed, the petitioner will pay
21 all costs and charges which may accrue in the prosecution of such
22 proceeding.

23 (8) Except in the case of a wilfully false or fraudulent return with
24 intent to evade the tax, no assessment of additional tax shall be made
25 after the expiration of more than three years from the date of the
26 filing of a return, provided, however, that where no return has been
27 filed as provided by law the tax may be assessed at any time.

28 (9) All revenues resulting from the imposition of the tax under the
29 local laws shall be paid into the treasury of the village of Chester and
30 shall be credited to and deposited in the general fund of the village.
31 Such revenues may be used for any lawful purpose.

32 (10) If any provision of this section or the application thereof to
33 any person or circumstance shall be held invalid, the remainder of this
34 section and the application of such provision to other persons or
35 circumstances shall not be affected thereby.

36 § 2. This act shall take effect immediately and shall expire and be
37 deemed repealed 2 years after such date.